



ROWAD
MODERN ENGINEERING

Subcontractor Invoicing and Supplier Bills process P-OP-05

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1. OBJECTIVES

The objectives of this process are to formalize and discuss the workflow for the subcontractor invoicing and supplier's bills cycle in RME.

2. STAKEHOLDER

- Operation Department
- MEP Department
- Site Technical Office
- Equipment Department
- Finance Department
- Projects Control Department
- Warehouse Department
- Formwork Department
- Purchasing Department
- Fleet Logistics Department

3. LIABLE STAKEHOLDER

- Operation Department
- MEP Department
- Site Technical Office
- Equipment Department
- Finance Department
- Projects Control
- Warehouse Department
- Formwork Department
- Purchasing Department
- Fleet Logistics Department

4. TERMS AND DEFINITION

- Irregular Subcontractors: Subcontractors with no legal/required documents.

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- Subcontractor/PO: Supply & Apply subcontractor agreed & engaged with RME via Purchase Order not a subcontract (Taxes percentage will be differently calculated from the subcontract agreement)
- IR: Inspection Request
- MIR: Material Inspection Request
- MRV: Material Received Voucher
- MIV: Material Issuance Voucher
- QS: Quantity Survey
- TO: Technical Office
- CM: Construction Manager
- PM: Project Manager
- PsM: Projects Manager
- TOM: Technical Office Manager
- TM: Technical Manager (Head office)
- FW: Formwork
- Hits: Human IT Solutions

5. RELATED DOCUMENTED INFORMATION

- Work Completed Status, F-P-OP-05-01
- IR log, F-P-QD-07-04
- MIR, F-PQP-01-05
- MRV, (ERP)
- MIV, (ERP)
- QS log
- Rented Equipment Time Sheet, F-P-OP-05-03
- Owned Equipment Time Sheet, F-P-OP-05-04
- Technical Deduction Sheet, F-P-OP-05-05
- Subcontractor Invoice Form, F-P-OP-05-06
- FW Issue Form, F-P-FW-01-15
- Formwork Issue Form, F-P-FW-01-18
- Daily Site Report, F-PQP-01-04
- Transportation Time Sheet, F-P-OP-05-07

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- Transportation Invoice, F-P-OP-05-02
- Payment Request Form, F-P-PU-01-03
- Internal Memo, F-P-QD-06-03
- Cash Fund settlement (via hits)
- Accommodation sheet (via hits)

6. PROCESS DETAILS

6.1 PROCESS INPUT

- Work Completed Status
- QS Log
- Submitted Bills with Received Notes

6.2 Process Operations

Sr.	Process Cycle description	Responsibility	Form
Subcontractors' invoice request			
1	<u>Case I: Supply & Apply Subcontractor Submits an Invoice</u> Subcontractors submit invoices to site's Technical Office Including: - Quantity Survey (QS) - Work Completed Status	Site Technical Office	Work Completed Status F-P-OP-05-01
2	CM & PM shall review and approve the work completed status.	PM CM	Work Completed Status F-P-OP-05-01
3	The Technical Office (Civil/Arch or MEP) will review the work completed form & the invoices submitted by subcontractor to validate the quantities & the progress. T.O will review the following: - IR submittals & approvals log. - QS submitted by Subcontractors.	Technical Office	IR log F-P-QD-07-04 MIR F-PQP-01-05

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	- Approved material on site using MIR & MRV (in case of subcontractor/PO type). - In case the measurement unit in the subcontract is different from the client's contract, the conversion rate to be determined by Technical Office Manager.		MRV
4	<u>Case II: Subcontractor/Irregular Subcontractor's Invoice Prepared by Site Engineer</u> Site engineer will issue Work completed status to be reviewed & approved by CM	Site Engineer	Work Completed Status Form F-P-OP-05-01
5	CM shall send approved & signed Work Completed Status to Site Technical Office after PM approval	CM PM	Work Completed Status Form F-P-OP-05-01
6	The Technical Office (Civil/Arch or MEP) will review the Work Completed Form and prepare the QS.	Site Technical Office	QS Log
7	T.O will review the following: - IR submittals & approvals log. - Approved material on site using MIR & MRV (in case of subcontractor/PO type), in case of supply apply S/C. - In case the measurement unit in the subcontractor is different from the client's contract, the conversion rate to be determined by the Technical Office Manager.	Technical Office	IR Log F-P-QD-07-04 MIR F-PQP-01-05 MRV
8	<u>Case III: Rented Equipment Invoice Prepared by technical Office</u> Equipment's supervisor will issue Rented Equipment Time Sheet to be reviewed & approved by CM & PM	Equipment Supervisor PM CM	Rented Equipment Time Sheet F-P-OP-05-03
9	The Technical Office will review the Equipment Time Sheet and prepare the invoice. T.O will review the following: - Issued contract - Equipment unit price rate	TO	Subcontractor Invoice Form F-P-OP-05-06

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	- Rented Equipment Time Sheet		Rented Equipment Time Sheet F-P-OP-05-03
10	<u>Case IV: Self Execution Invoices</u> Site Engineer will issue Work Completed Status form to be reviewed & approved by CM	Site Engineer	Work Completed Status Form F-P-OP-05-01
11	CM shall send approved & signed Work Completed Status form to Site Technical Office after PM approval	CM PM	Work Completed Status Form F-P-OP-05-01
12	The Technical Office (Civil/Arch or MEP) will review the Work Completed Form and prepare the QS. TO will review the following: - IR submittals & approvals log. In case the measurement unit in the subcontractor is different from the client's contract, the conversion rate to be determined by Technical Office Manager.	Site Technical Office	Work Completed Status Form F-P-OP-05-01 QS Log IR Log F-P-QD-07-04
13	Projects Control to compare the cost of wages issued from timekeeper in site versus the issued invoice by T.O which will be done every 15 days.	Projects Control	
14	<u>Case V: Rented Transportation Invoice Prepared by Fleet Logistics Representative</u> Fleet Logistics Representative will issue rented Transportation Time Sheet to be reviewed & approved by PM, then send it to the Project's Accountant.	Fleet Logistics Representative PM	Transportation Time Sheet F-P-OP-05-07
15	The Technical Office will review the transportation invoice which is prepared by the Project's Accountant according to the contract's price rate.	Project Accountant TO	Transportation Invoice F-P-OP-05-02
16	Project Accountant shall send the Transportation Invoice to the Fleet Logistics Accountant for review, then submit it to the Finance dept.	Project Accountant	Transportation Invoice

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		Fleet Logistics Accountant Finance	F-P-OP-05-02
17	<u>Case VI: Accommodation Invoice Prepared by HR department</u> The Technical Office will review the transportation invoice which is prepared by the Project's Accountant according to the contract's price rate.	Project Accountant TO	Transportation Invoice F-P-OP-05-02
18	Project Accountant shall send the Transportation Invoice to the Fleet Logistics Accountant for review, then submit it to the Finance dept.	Project Accountant Fleet Logistics Accountant Finance	Transportation Invoice F-P-OP-05-02
Deductions			
19	<u>Technical Deductions & Withhold Amounts:</u> Qualitative: - Technical Office Engineer receives Technical Deduction Sheet, from any concerned party. - It includes open NCRs, rejected IRs, HSE issues & engineering support, etc. - Qualitative deductions to be approved by projects control and revert to Site Technical Office to reflect on the invoice. Quantitative: - Material withdrawal will be a report extracted from ERP including the name of the relative subcontractor. - CM will Verify the MIV report mentioning the amount used/on hold on site. - MIV to be approved & signed by CM & PM - Equipment: - Case I: Rented equipment is to be reported by Equipment Supervisor through Equipment Time Sheet on daily basis approved by CM & PM then sent to TOM	Technical Office Projects Control Warehouse PM CM Equipment Supervisor	Technical Deduction Sheet F-P-OP-05-05 MIV Rented Equipment time sheet F-P-OP-05-03

	○ Case II: RME owned equipment is to be reported by Equipment Supervisor through owned Equipment Timesheet on daily basis, signed by CM then send to (Equipment dept. Technical Office) to prepare the voucher attached with time sheet, which will be sent to PM for approval. • Accommodation, its expenses and damages are to be based on Service provider contract and the accommodation sheet prepared by Accommodation Supervisor on site, which will be sent to HR dept & PM for approval. • RME labor allocation is to be based on the Daily Site Report prepared by site's Project Control Engineer with the assist of CM & approved by PM. • RME Formwork usage to be updated according to the following: ○ Form Work Issue and receiving form and Formwork Monthly Voucher prepared by Form Work dept. ○ Daily Site Report prepared by site's Project Control Engineer with the assist of CM & reviewed by Formwork department, to be submitted to T.O.M • Final deductions report to be approved by Project Control Engineer followed by PM. • Technical Deduction Timeframe: ○ Batch (1): 15th of the month – 30: Reflects Invoices 5th – 10th of the month. ○ Batch (2): 1st of the month – 15: Reflects Invoices 20th – 25th of the month.	Equipment dept. Technical Office CM PM Accommodation Supervisor Project Control Engineer CM, PM Formwork dept Project Control Engineer PM	Owned Equipment Timesheet F-P-OP-05-04 Accommodation sheet Daily Site Report F-PQP-01-04 Form Work Issue Form F-P-FW-01-15 Formwork Monthly Voucher F-P-FW-01-18 Daily Site Report F-PQP-01-04
Invoice issuance			
20	Comparison between client's invoice & subcontractor invoice to be done, and the following actions shall be taken by TOM or TM - Client/Internal invoice QTY > subcontractor invoice QTY; ○ The subcontractor invoice to be approved - Client/Internal invoice QTY < subcontractor invoice QTY;	TOM PM Head Office TM	Subcontractor Invoice Form F-P-OP-05-06

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	- Internal memo includes the clarification from the PM & TOM to be issued. - If the difference > 10% it will require the PsM & Head Office TM approval		Internal Memo F-P-QD-06-03
21	PM shall discuss the invoice with the subcontractor and get his signature (if applicable) before submitting it to Operation dept. & Finance dept. to proceed the payment. - Invoice < 1M – PsM & Head Office TM signatures. - Invoice > 1M – PsM & Head Office TM & Operation Manager signatures. <u>Project approval timeframe:</u> - Project Control Engineer: 24 hrs. from receiving final deduction summary from TOM. - PM: 2days from receiving the invoice from TOM. - TOM: 2days from preparing the invoice and receiving the S/C documents The Invoices shall be submitted according to the batch timeframe mentioned in step19	PM Operation PsM Finance Project Control Engineer PM TOM	
22	Finance department shall send notifications with the final summary invoice to all concerned parties and proceed in payment.	Finance	
23	Projects Control Dept. shall review the final S/C invoice upon work accomplishment.	Projects Control dept.	Final S/C Invoice
Final invoice			
24	According to the subcontract terms & conditions, Site technical office shall prepare final invoice for subcontractor. Based on the following: - Work completed status (Approved QS upon request) - Final technical deductions - Priced snag list - Final Subcontractor evaluation refer to (P-PR-02) *In case of Re-measured contracts, follow step 20	Site technical office	

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25	For approval cycle, follow step 21.		
26	Any withheld retention shall be released for subcontractor after a memo is prepared by Site TOM, approved by PM, PsM, Head office TM and finance dept.	Site technical office	
<u>Supplier Bills</u>			
27	<u>Case I: Purchasing (Civil -Arch.- MEP) suppliers</u> The Suppliers shall submit the bills to the purchasing (Civil -Arch.- MEP) dept. according to the delivered materials on site including received notes, which are approved by Project Storekeeper.	Suppliers Project Storekeeper	Bill
28	Purchasing (Civil -Arch.- MEP) dept Accountant shall compares the MRV and PO with the received bills, then send them with the payment request form to the Finance dept to proceed for payment.	Purchasing (Civil -Arch.- MEP) Accountant Finance dept	MRV PO Bill Payment Request F-P-PU-01-03
29	<u>Case II: Formwork suppliers</u> Formwork Supplier will submit the bills for the delivered items to FW Purchasing Officer on monthly basis.	FW Purchasing Officer	Bill
30	FW Purchasing Officer shall review the received bills within 24 hrs., then send them submit via email to the project storekeeper, FW engineer, and PM respectively to be approved within 3days.	FW Purchasing Officer Project Storekeeper FW Engineer PM	Bill

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31	PM shall send the bills after approval to FW Purchasing Officer to save the records and then send them with the payment request to the Finance dept.	PM FW Purchasing Officer Finance dept.	Bill Payment Request F-P-PU-01-03
<u>Temporary Subcontractor (Rented logistics)</u>			
32	Fleet Logistics dept. will issue the rented transportation bill to be reviewed and approved by the requester	Fleet Logistics dept Requester	Rented Transportation Bill
33	After the requester approval, the Fleet Logistics accountant shall send the rented transportation bill to the Finance dept	Requester Fleet Logistics Accountant Finance	Rented Transportation Bill
<u>Service provider Receipt/Bills</u>			
34	<u>Accommodation</u> HR dept shall prepare the Cash fund settlement for each project including the monthly rent and the insurance value for each residence, then send it to the Finance dept with the receipts and payment request.	HR Finance	Cash fund settlement
35	Accommodation Supervisor shall prepare the accommodation sheet on monthly basis, then send it to HR dept for review and approval.	Accommodation Supervisor HR dept	Accommodation Sheet

6.3 PROCESS OUTPUT

- Subcontractor Invoice
- Supplier Bills
- Service provider Receipt

7. PROCESS RISK ASSESMENT

Included in the risk register form No. F-P-QD-05-01 "Risk identification and assessment" maintained by the HoD, along with the action plan to address risks and opportunities".

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8. PROCESS CONTROL

- PM shall approve the work completed status for S/C
- Projects control shall approve qualitative deductions.
- Projects control shall review final deduction form.
- PM and Site's Technical Office shall issue a clarification from, if the Client/Internal invoice QTY > subcontractor invoice QTY.

9. PERFORMANCE MEASURES

- Comparison between the Client invoice & the subcontractor invoice.

10. DOCUMENT CHANGE HISTORY

No.	Revision Level	Description of Changes	Effective Date
00	All	New issue	Nov 2021



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